

9-2d The Lessons for Trade Policy

The team of Isolandian economists can now write to the new president:

Dear Madam President,

You asked us three questions about opening up trade. After much hard work, we have the answers.

Question: If the government allows Isolandians to import and export textiles, what will happen to the price of textiles and the quantity of textiles sold in the domestic textile market?

Answer: Once trade is allowed, the Isolandian price of textiles will move to equal the price prevailing around the world.

If the Isolandian price before trade is below the world price, our price will rise. The higher price will reduce the amount of textiles Isolandians consume and raise the amount of textiles that Isolandians produce. Isoland will, therefore, become a textile exporter. This occurs because, in this case, Isoland has a comparative advantage in producing textiles.

Conversely, if the Isolandian price before trade is above the world price, our price will fall. The lower price will raise the amount of textiles that Isolandians consume and lower the amount of textiles that Isolandians produce. Isoland will, therefore, become a textile importer. This occurs because, in this case, other countries have a comparative advantage in producing textiles.

Question: Who will gain from free trade in textiles and who will lose, and will the gains exceed the losses?

Answer: The answer depends on whether the price rises or falls when trade is allowed. If the price rises, producers of textiles gain, and consumers of textiles lose. If the price falls, consumers gain, and producers lose. But in both cases, the gains are larger than the losses. Thus, free trade raises the total welfare of Isolandians.

Question: Should a tariff be part of the new trade policy?

Answer: A tariff has an impact only if Isoland becomes a textile importer. In this case, a tariff moves the economy closer to the no-trade equilibrium and, like most taxes, causes deadweight losses. A tariff improves the welfare of domestic producers and raises

revenue for the government, but these gains are more than offset by the losses suffered by consumers. The best policy, from the standpoint of economic efficiency, would be to allow trade without a tariff.

We hope you find these answers helpful as you decide on your new policy.

Your faithful servants,
Isolandian economics team

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